

26STCP02147 26STCP02147

County: los-angeles

Division: Civil Law and Motion

Department: 512

Hearing date: 2026-08-25

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Case Number: 26STCP02147 Hearing Date: August 25, 2026 Dept: 512

HEARING DATE: Tues., August 25, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Datura

Capital, LLC v. Interested Parties PET. FILED: 06-09-26

CASE NUMBER: 26STCP02147

AM. PET. FILED: 08-03-26

NOTICE: OK

PROCEEDINGS: FIRST

AMENDED PETITION FOR APPROVAL OF TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

MOVING PARTY: Petitioner Datura Capital, LLC

RESP. PARTY: None

PETITION FOR APPROVAL

OF TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

(Ins. Code §
10139.5)

TENTATIVE RULING:

Petitioner Datura Capital, LLC's First Amended Petition for Approval of
Transfer of Structured Settlement Payment Rights is CONTINUED to October 29,

2026 at 9:00 a.m. in Department 512 of the Stanley Mosk Courthouse.

At least 20 days prior to the next scheduled hearing, Petitioner is to file and serve supplemental papers addressing the deficiencies noted herein.

Moving party is ordered to give notice.

SERVICE:

☐ Proof of Service Timely
Filed (CRC, rule 3.1300) NO

☐ Correct Address (CCP §§
1013, 1013a) NO

☐ 16/21 Court Days Lapsed
(CCP §§ 12c, 1005(b)) NO

OPPOSITION: None
filed as of August 21, 2026 ☐
Late ☒ None

REPLY: None
filed as of August 21, 2026 ☐ Late ☒ None

ANALYSIS:

I.

Background

On June 9, 2026, Petitioner Datura Capital, LLC filed the instant Petition for Approval of Transfer of Structured Settlement Payment Rights (the "Petition") against Certain Statutorily Defined Interested Parties – here, Kylie Lefefe ("Payee").

On August 3, 2026, Petitioner filed and served a First Amended Petition on Respondents.

On August 3, 2026, Petitioner filed and served Notice of Hearing on the First Amended Petition.

On August 18, 2026, Petitioner filed a Notice of Payee Having Obtained Independent Professional Advice from an Attorney and from a Financial Advisor.

No Opposition to the First Amended Petition.

II.

Legal
Standard

“The California Legislature has adopted the Structured Settlement Protection Act (SSPA) (§ 10134 et seq.) to protect structured settlement payees from exploitation by factoring companies.” (RSL Funding, LLC v. Alford (2015) 239 Cal.App.4th 741, 745.)

“The court-approval process requires the factoring company to file a petition in the county in which the transferor resides for approval of the transfer, attaching copies of the petition, the transfer agreement, the disclosure form, the annuity contract, any qualified assignment agreement and the structured settlement agreement, a list of the names and ages of the transferor's dependents, notice of the court hearing date, and notice of a right to respond.” (321 Henderson Receivables Origination LLC v. Sioteco (2009) 173 Cal.App.4th 1059, 1066 [citing Ins. Code, §10139.5(c)].)

“The California act...governing transfers of structured settlement payment rights defines a “[s]tructured settlement agreement” [as] an arrangement for periodic payment of damages established by settlement or judgment in resolution of a tort claim in which the payment of the judgment or award is paid in whole, or in part, in periodic tax-free payments rather than a lump-sum payment.” (Matthews v. Liberty Assignment Corp. (2016) 247 Cal.App.4th 71, 78.)

“Annuity issuers and structured settlement obligors are defined as ‘interested parties’ under the SSPA (§ 10134, subd. (g)), and as such, are entitled to notice of petitions to authorize transfer of payments under a structured settlement agreement.” (RSL Funding, LLC, supra, 239 Cal.App.4th at p. 745.)

Insurance

Code §10137 provides: "A transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds the following conditions are met: (a) [t]he transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents [; and] (b) [t]he transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5." (Ins. Code, § 10137.) The transfer agreement is effective only upon approval in a final court order. (Ins. Code, § 10139.5(a).)

Insurance Code §10139.5(a)
requires the court to make the following findings:

The transfer is in the best
interest of the payee, taking into account the welfare and
support of the payee's dependents.

The payee has been advised
in writing by the transferee to seek independent professional
advice regarding the transfer and has either received that
advice or knowingly waived, in writing, the opportunity to receive the
advice.

The transferee
has complied with the notification requirements pursuant
to paragraph (2) of subdivision (f), the transferee has provided the
payee with a disclosure form that complies with Section 10136,
and the transfer agreement complies with Sections 10136 and
10138.

The transfer does not
contravene any applicable statute or the order of any court or other
government authority.

The payee understands the
terms of the transfer agreement, including the terms set forth
in the disclosure statement required by Section 10136.

The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

(Ins. Code, § 10139.5(a).)

In addition, pursuant to Insurance Code section 10139.5(c):

Every petition for approval of a transfer of structured settlement payment rights, except as provided in subdivision (d), shall include, to the extent known after the transferee has made reasonable inquiry with the payee, all of the following:

The payee's name, address, and age.

The payee's marital status, and, if married or separated, the name of the payee's spouse.

The names, ages, and place or places of residence of the payee's minor children or other dependents, if any.

The amounts and sources of the payee's monthly income and financial resources and, if presently married, the amounts and sources of the monthly income and financial resources of the payee's spouse.

Whether the payee is currently obligated under any child support or spousal support order, and, if so, the names, addresses, and telephone numbers of any individual, entity, or agency that is receiving child or spousal support from the payee under that order or that has jurisdiction over the order or the payments in question.

Information regarding previous transfers or attempted transfers, as described in paragraph (11), (12), or (13) of

subdivision (b). The transferee or payee may choose to provide this information by providing copies of pleadings, transaction documents, or orders involving any previous attempted or completed transfer or by providing the court a summary of available information regarding any previous transfer or attempted transfer, such as the date of the transfer or attempted transfer, the payments transferred or attempted to be transferred by the payee in the earlier transaction, the amount of money received by the payee in connection with the previous transaction, and generally the payee's reasons for pursuing or completing a previous transaction. The transferee's inability to provide the information required by this paragraph shall not preclude the court from approving the proposed transfer, if the court determines that the information is not available to the transferee after the transferee has made a reasonable effort to secure the information, including making an inquiry with the payee.

(Ins. Code § 10139.5(c).)

III.

Discussion

The Payee declaration states Payee agrees to transfer the following payments to Petitioner: (1) one lump sum payment of \$250,000.00 due on December 18, 2031; (2) one lump sum payment of \$500,000 due on December 18, 2036; and (3) one lump sum payment of \$1,154,663.00 due on December 18, 2041. (First Amended Petition, Payee Decl., ¶ 9, Exh. 2, Addendum.) The net amount paid to Payee would be \$550,002.24. (First Amended Petition, Payee Decl., ¶ 10, Exh. 2, Addendum.) If approved, the Payee – who is 19 years old, single, lives in California, has no dependents, is not currently employed, is a full-time college student, and has no court-ordered child support obligations – intends “to use this money to pay for college, a reliable vehicle, and for college housing.” (First Amended Petition, Payee Decl., ¶¶ 1-11.)

As an initial matter, the First Amended Petition and notice of hearing were untimely and improperly filed and served pursuant to Insurance Code sections 1039.2 and 1039.5. (Ins. Code, §§ 1039.5, subd. (f)(2) [“Not less than 20 days prior to the scheduled hearing on any petition for approval of a transfer of structured settlement payment rights under this article, the transferee shall file with the court and serve on all

interested parties a notice of the proposed transfer and the petition for its authorization”], 1039.2 [“Any notice required by this article shall be deemed to have been given if addressed to the recipient’s last known address and deposited, first class postage paid, in the United States mail not less than five calendar days prior to the date on which notice is required”].)

Further, the First Amended

Petition does not include a sufficient amount of the information required under Insurance Code section 10139.5(c). For instance, the First Amended Petition does not provide to the Court the amount of the damages that Payee was awarded, the amount Payee will receive according to the Transfer Agreement, the amounts and sources of Payee’s monthly income and financial resources, or his previous transfers, if applicable, in the First Amended Petition itself. The First Amended Petition contains boilerplate information and merely refers to the attached Transfer Agreement and Payee declaration for any information unique to the instant matter.

Additionally, it is unclear to this

Court how Payee became entitled to the structured settlement payments. While the Court acknowledges the Payee’s declaration states the “original settlement was intended as compensation for injuries [Payee] sustained,” the Court is not satisfied with such a vague description. (First Amended Petition, Payee Decl., ¶ 8.)

Finally, the Payee, while stating that

Payee has “assigned structured settlement payments once before under case number 2025-01508513,” fails to provide any further information or documents regarding this assignment or demonstrate an inability to provide the information. (First Amended Petition, Payee Decl., ¶ 12.)

Thus, the First Amended Petition is CONTINUED

to allow Petitioner an opportunity to file and serve supplemental papers addressing the deficiencies noted herein.

IV.

Conclusion

& Order

Based on the

foregoing reasons, Petitioner Datura Capital, LLC’s First Amended Petition for

Approval of Transfer of Structured Settlement Payment Rights is CONTINUED to October 29, 2026 at 9:00 a.m. in Department 512 of the Stanley Mosk Courthouse.

At least 20 days prior to the next scheduled hearing, Petitioner is to file and serve supplemental papers addressing the deficiencies noted herein.

Moving party is ordered to give notice.